IOWN

The Morning Brief

MARCH 27, 2026

Deadline Eve

The Nasdaq enters correction territory as Thursday's broad selloff erases Wednesday's gains, oil surges past $108, and Saturday's power plant strike deadline looms.

S&P 500	BRENT CRUDE	BITCOIN	GOLD	FEAR & GREED
6,451 ↓1.79%	~$106 ↑3.7%	~$68,700 ↓3.4%	~$4,390 ↓3.8%	13 · Extreme Fear

SECTION 01

Markets

THURSDAY ERASES WEDNESDAY'S GAINS AND THEN SOME — NASDAQ ENTERS CORRECTION

Thursday delivered the most damaging session since the conflict began. The S&P 500 fell 1.79%, the Dow declined 1.04%, the Nasdaq shed 2.39%—officially entering correction territory—and the Russell 2000 dropped 1.74%. UVXY surged 10.45%, the largest single-session volatility spike of the war. TLT fell 0.84%, meaning bonds offered no refuge as yields rose alongside oil. Ten of eleven sectors closed red, with tech (–3.11%) and industrials (–2.32%) leading losses. Only energy (+1.57%) finished green. The selloff had multiple converging catalysts: Iran's formal rejection of the 15-point plan, the White House's "unleash hell" rhetoric, reports that SMIC may have supplied semiconductor equipment to Iran's military industrial complex, and Google's TurboQuant algorithm continuing to pressure memory names. DVY (+0.33%) outperformed IWS (–1.20%) and IUSG (–2.82%)—dividend value is holding up while growth absorbs the damage. Brent crude is trading near $108 in early Friday trading, up from Thursday's close near $106.

THE SEMI SLEEVE REVERSES VIOLENTLY — LRCX –9.35%, AMD –7.49%

Wednesday's semiconductor rally reversed completely on Thursday. AMD, which surged 7.26% on CPU pricing power just 24 hours earlier, fell 7.49% to $203.77. TSM dropped 6.22% to $326.11. LRCX plunged 9.35% to $211.62—its worst session of the year—as Google's TurboQuant memory compression narrative intensified. KEYS fell 4.11%, ADI shed 2.67%, NVDA declined 4.16%, and TEL dropped 3.25%. The Philadelphia Semiconductor Index fell 2.9%, its largest daily decline since March 12. The immediate catalyst layered TurboQuant fears with the SMIC-Iran revelation: if SMIC has been supplying semiconductor equipment to Iran's military, additional sanctions could cascade through global chip supply chains. For IOWN, the semi sleeve gave back nearly all of its gains from the past two sessions in a single day. The underlying demand thesis—CPU pricing power,

AI capex, physical infrastructure—has not changed, but the near-term risk profile has widened materially.

ENERGY SURGES AS OIL RECLAIMS $108 — VLO +5.80%

Energy was the sole sector in the green as the escalation trade reasserted itself. VLO surged 5.80% to $248.14, its strongest session since the war began. CVX gained 1.29%, OKE added 1.57%, and the XLE rose 1.57%. Brent crude climbed 3.65% on Thursday to approximately $106 and has continued higher overnight to approximately $108—approaching the war-era highs near $114 from earlier this month. WTI is back above $94. The market is repricing Hormuz disruption duration: with Iran's rejection, the "non-hostile" vessel framework is the ceiling of de-escalation rather than the floor, and oil is reflecting the reality that full Hormuz normalization could remain weeks or months away. For IOWN, the energy sleeve is performing its intended function—providing portfolio ballast when the conflict intensifies.

GOLD GIVES BACK WEDNESDAY'S ENTIRE RALLY — THE INVERTED SAFE HAVEN PERSISTS

Gold fell 3.76% on Thursday after rallying 3.01% on Wednesday—the sharpest two-session reversal of the conflict. GLD closed at $400.64, placing spot gold near $4,390. Silver was hit harder, dropping 6.81%. The pattern described in Wednesday's brief is now confirmed: gold's war-era behavior inverts the traditional safe-haven dynamic. When oil surges on escalation, the dollar strengthens and gold sells; when oil falls on de-escalation, gold rallies. Thursday's oil surge triggered exactly this dynamic. AEM fell 2.35% and GFI dropped 4.19%, giving back most of Wednesday's gains. The miners' correlation with gold remains tight. The structural case for gold is unchanged—J.P. Morgan's year-end target of $6,300 remains in place—but the near-term trajectory depends on whether oil breaks higher from here, which would further compress gold. The digital asset sleeve also reversed: IBIT fell 3.36%, ETHA dropped 5.79%, HUT plunged 9.06%, and COIN shed 4.26%. BTC is testing the 200-day moving average near $69,200.

S&P 500	**6,451 · ↓1.79% · Worst session since conflict began**
NASDAQ	**↓2.39% · Officially in correction territory**
BRENT CRUDE	**~$106 Thu · Climbing to ~$108 overnight**
GOLD	**~$4,390 · ↓3.76% · Reversed entire Wed rally**
UVXY	**↑10.45% · Largest vol spike of the war**
FEAR & GREED	**13 · Extreme Fear**

Wednesday's constructive session lasted exactly 18 hours. The market's inability to hold gains tells the story: every rally attempt since the war began has been sold into, and the pattern shows no sign of changing until the underlying conflict resolves. Tomorrow is the last trading session before the five-day deadline expires. Think Like an Owner—the dividend sleeve is outperforming because it was built for exactly this kind of sustained uncertainty.

SECTION 02

Geopolitics

THE DIPLOMATIC WINDOW IS EFFECTIVELY CLOSED — SATURDAY'S DEADLINE APPROACHES

Iran's rejection of the 15-point plan has hardened into a firm diplomatic posture. Foreign Minister Araghchi stated that exchanges through Pakistani mediators "do not constitute negotiations with the United States," and the regime's five-point counter-demands—reparations, Hormuz sovereignty, halt to assassinations—are functionally incompatible with Washington's requirements. The White House responded with the most aggressive rhetoric of the conflict: Press Secretary Leavitt stated Trump is "prepared to unleash hell," while Defense Secretary Hegseth remains focused on "winning." At least 6,000–8,000 US ground troops, including 82nd Airborne paratroopers, are now moving toward the Gulf. The five-day pause on power plant strikes expires approximately Saturday, March 29. If no framework emerges by then, the strike threat returns and the Financial Times's assessment of a potential US assault on Kharg Island becomes the operative scenario for oil markets. Reuters reports traders are spending "sleepless nights" as the conflict roils global markets.

THE SMIC-IRAN SANCTIONS RISK ADDS A SECOND FRONT

Reports emerged Thursday that China's SMIC may have been supplying semiconductor manufacturing equipment to Iran's military industrial complex, a potential sanctions violation that would represent a qualitative escalation in the US-China dimension of the conflict. If confirmed, additional sanctions against SMIC and related Chinese tech entities could cascade through global chip supply chains, further pressuring semiconductor names already reeling from the TurboQuant overhang. The intersection of the Iran conflict with US-China technology competition creates a compounding risk that the market had not previously priced. IOWN's semiconductor exposure—particularly TSM, NVDA, LRCX, and AMD—faces both the geopolitical supply-chain risk and the AI efficiency headwind simultaneously.

UAE OFFERS TO JOIN INTERNATIONAL FORCE TO REOPEN HORMUZ

In a notable development, the Financial Times reports that the UAE has expressed willingness to join an international force to reopen the Strait of Hormuz. This is the first Gulf state to formally offer military participation in clearing the waterway—a signal that regional powers are preparing for a scenario in which the diplomatic track fails entirely. India, meanwhile, is rekindling its relationship with Russia as a hedge against oil supply disruption, according to Reuters. Europe is scaling back climate goals to ease the energy shock. The war's economic and strategic ripple effects are now reshaping alliances, energy policy, and defense postures across four continents.

5-Day DeadlineExpires ~Saturday March 29 · Power plant strikes
US Troop Buildup6–8K troops · 82nd Airborne + Marines
SMIC-IranAlleged sanctions violation · Chip supply chain risk
UAEWilling to join Hormuz clearing force (FT)
Brent Overnight~$108 · Approaching war-era highs

SECTION 03

On Our Radar

1. Today is the last trading session before the five-day deadline expires. Saturday, March 29 is when Trump's pause on power plant strikes ends. The overnight posture—troop deployments, "unleash hell" rhetoric, oil at $108—suggests the market is pricing escalation as the base case. If the weekend brings strikes, Monday could gap significantly lower for equities and higher for oil. If a last-minute framework emerges, the relief trade could be violent in the other direction. IOWN's positioning through both scenarios: CVX, VLO, OKE, GD, and LMT for escalation; the broader growth and dividend sleeves for eventual normalization. Think Like an Owner—the binary outcome window is measured in hours, not days.

2. The semi sleeve's two-day whipsaw — AMD +7.26% then –7.49% — demands discipline. The CPU pricing power thesis that drove Wednesday's rally has not changed. What changed was the overlay of SMIC sanctions risk, TurboQuant sentiment, and broad risk-off selling. LRCX at –9.35% is the most concerning: if memory capex expectations contract on TurboQuant, the equipment makers bear disproportionate risk. The logic-side names (NVDA, AMD, TSM) face a different and more manageable headwind. Research Reveals Opportunities—distinguishing between sentiment and fundamentals is the work of the next several sessions.

3. Morgan Stanley's Bitcoin ETF (MSBT) received an NYSE listing notice. Bloomberg's Eric Balchunas characterized the launch as "imminent." Morgan Stanley would be the first major US bank to issue a proprietary Bitcoin ETF, with a 0.24% fee (slightly below IBIT), Coinbase as custodian, and Jane Street and Virtu as authorized participants. The structural significance: Morgan Stanley's 16,000 financial advisors managing approximately $8 trillion in client assets could now proactively allocate to a proprietary BTC product. This is constructive for IBIT and the broader digital asset sleeve on a medium-term horizon, though the near-term price action remains dominated by the geopolitical overhang.

4. The dividend sleeve is quietly outperforming. DVY gained 0.33% on Thursday while IWS fell 1.20% and IUSG dropped 2.82%. VLO (+5.80%), SYK (+1.54%), ORI (+1.14%), ADP (+1.19%), ATO (+0.90%), and GD (+0.79%) all posted gains against a market that lost nearly 2%. The sleeve was built for sustained uncertainty—low-volatility cash generation that compounds through drawdowns. **Avoid Erosion.**

5. PCE inflation data arrives this morning — the last major data point before the deadline. February core PCE is the Fed's preferred inflation gauge. The OECD's revised 4.2% headline inflation forecast for the US looms over the print. If core PCE shows acceleration, the Fed's path narrows further toward no cuts or even a hike in 2026. If it comes in benign, the market may interpret it as backward-looking given the war's impact on energy costs since March 1. Either way, the print sets the macro context heading into the weekend's binary event. **Simplicity Over Complexity.**

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